

private *Post* stock to several hundred employees in gratitude for their loyalty and service. He also funded the company's profit-sharing plan with private stock. As the company prospered, the value of the *Washington Post* skyrocketed from \$50 per share in the 1950s to \$1,154 in 1971. The profit-sharing plan and the personal holdings of employees required the company to maintain a market for the stock, an arrangement that proved to be an unproductive use of the company's cash. In addition, the Graham and Meyer family was facing stiff inheritance taxes.

In 1971, Katharine Graham decided to take the *Washington Post* public, thus erasing the burden of maintaining a market in its own stock, and enabling the family heirs to more profitably plan for their estates. The Washington Post Company was divided into two classes of stock. Class A common stock elected a majority of the board of directors, and class B elected a minority. Katharine Graham held 50 percent of the class A stock, thus effectively controlling the company. In June 1971 the Washington Post Company issued 1,354,000 shares of class B stock. Remarkably, two days later, despite government threats, Katharine Graham gave Ben Bradlee permission to publish the Pentagon Papers. In 1972, the price of both class A and B shares climbed steadily, from \$24.75 in January to \$38 in December.

But the mood on Wall Street was turning gloomy. In early 1973, the Dow Jones Industrial Average began to slide; by spring, it was down more than 100 points to 921. The Washington Post Company share price was slipping as well; by May it was down to \$23. Wall Street brokers were buzzing about IBM—the stock had declined more than 69 points, breaking through its 200-day average; they warned that the technical breakdown was a bad omen for the rest of the market. That same month, gold broke through \$100 per ounce, the Federal Reserve boosted the discount rate to 6 percent, and the Dow fell 18 points, its biggest loss in three years. By June, the discount rate was raised again, and the Dow headed down even further, passing through the 900 level.

And all the while, Buffett was quietly buying shares in the *Washington Post*. By June, he had purchased 467,150 shares at an average price of \$22.75, a purchase worth \$10,628,000.